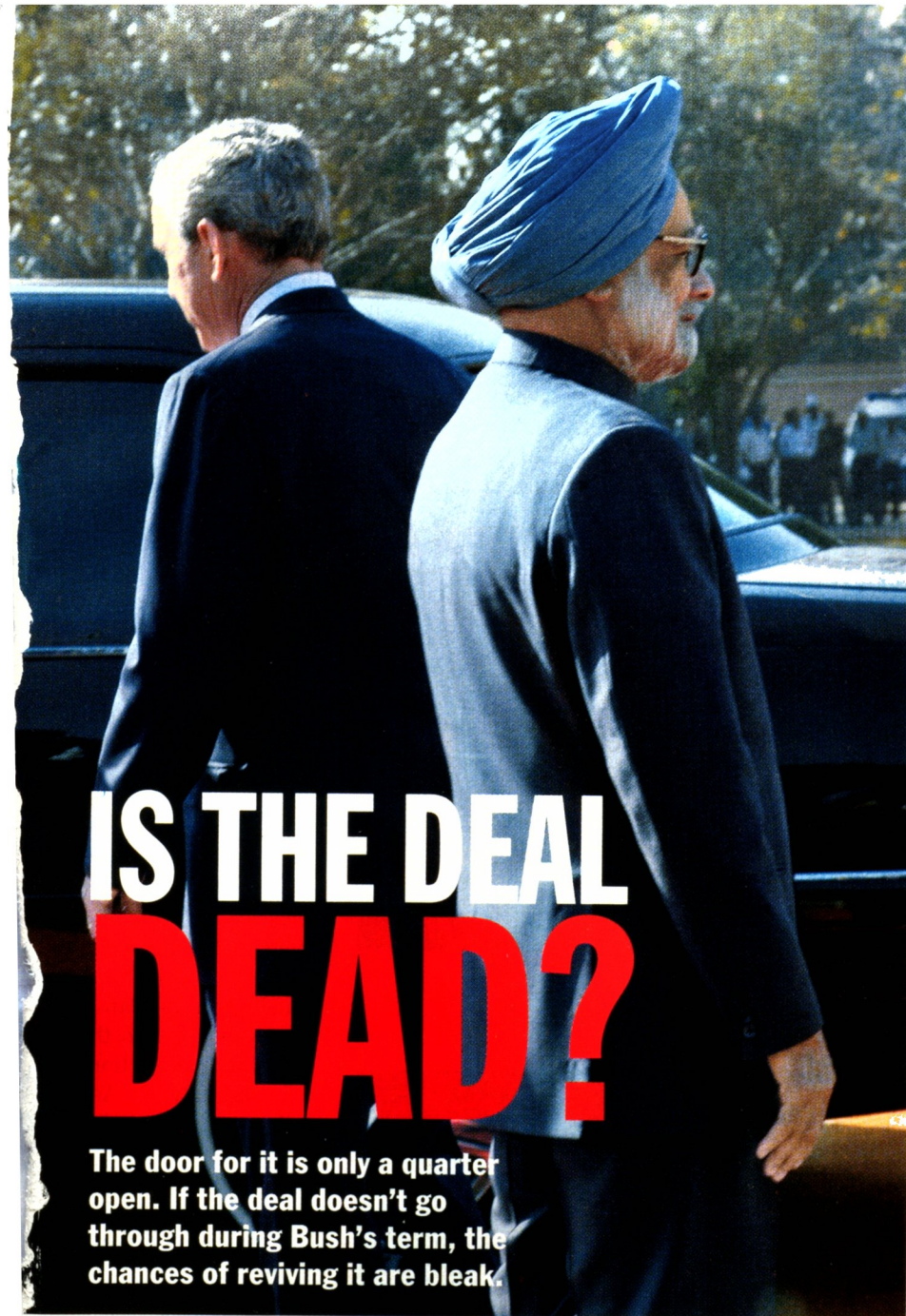




IS THE DEAL DEAD?

The door for it is only a quarter open. If the deal doesn't go through during Bush's term, the chances of reviving it are bleak.

■ By Raj Chengappa
with Saurabh Shukla

It was Lord Keynes who once famously said: "In the long run we are all dead." That is a good reminder for the UPA Government as it searches for ways to avoid reaching a decision on operationalising the Indo-US nuclear deal. Even as the ruling Congress hopes that better sense would prevail among its allies in the long run, there are signs that the window of opportunity to see the deal through is narrowing rapidly.

Time is literally running out for the deal. The original plan was to get the India-specific safeguards agreement with the International Atomic Energy

BACKING OUT: Manmohan's U-turn has Bush seething

Agency (IAEA) over with by the end of October. The US had worked out a way of getting the 45-member Nuclear Suppliers Group (NSG) to lift the ban on the trade of civilian nuclear technology with India by December. Early next year, the Bush administration planned to place the bilateral 123 Agreement with India before the US Congress and have it vote on it. The process, expected to take three months, was to culminate in the operationalisation of the deal.

However, after the Government held several rounds of talks with the Left to iron out contentious issues, there is a feeling on both sides that the

exercise was a charade. With the Left rejecting all pleas by the UPA Government to allow Department of Atomic Energy officials to begin negotiations with IAEA, the timetable to get the deal through is completely upset. A senior leader involved in the deliberations says: "The door on the deal is now only a quarter open."

Washington is naturally seething at the U-turn of the UPA Government. Having spent loads of political capital persuading the Congress to pass the Hyde Act, which amended the US law banning nuclear trade with India, President George Bush was hoping to parade the deal as a signal foreign policy achievement. A seasoned US foreign policy watcher says: "Backing away now doesn't help India's cause especially if it wants to be a player in international relations. It has to follow things through what is, by all objective accounts, a pretty good deal for India. Future US administrations would be loathe to stick their neck out for India if it continues to behave this way."

When Prime Minister Manmohan Singh, while on a bilateral tour of Nigeria, finally got through to Bush on the telephone, their conversation was apparently businesslike. Manmohan explained to Bush the difficulties involved in taking the nuclear deal ahead, and the US president reportedly expressed his "strong disappointment" at the turn of the events.

TIMED OUT

THE ORIGINAL SCHEDULE: India had hoped to get IAEA and NSG clearances by December and the US Congress vote on the 123 Agreement by 2008 spring.

IS THERE STILL HOPE? There is a narrow window for pushing IAEA and NSG clearances in January 2008. Beyond that it will be tough to get a vote in Congress as the nation goes into election mode.

SO IS THE DEAL DEAD? While the Hyde Act remains law, getting a new president to back the deal as much as Bush did would be difficult. Any effort to renegotiate the 123 Agreement may see a toughening of clauses.